

2017 Exit

Exam

Tir 26 Monday

Session 1, 2:30-5:30

1) Which one of the following audit procedure is defined as the process of obtaining a representation of information or of an existing condition directly from a third party?

A. inquiry

B. Analytical procedure

D

C. Inspection of document.

D. Confirmation

2) Company B. Based in Europe, exports goods to a customer in the United States and invoices \$50,000, if the exchange rate is 1 EUR-1.3 USD), what is the EUR equivalent of the revenue ?

A. 38461.54

A

EUR=1.3USD

50,000USD

B. 62,500

EUR= 50,000/1.3= 38461.54

C. 450,000

D. 65,000

3) Which of the following is considered as a general long-term liability except:

- a. Issuance of government treasury bills.
- b. Issuance of bonds and notes.
- c. Claims and judgments.
- d. Pensions and other post-employment benefit.

A

4) All of the followings are categories of income exempted from employment income tax, except;

- A. Pension, provident fund and all other retirement benefit (up to 15% of the monthly salary of employee)

B

- B. Employee's Basic salary
- C. Gratuity in relation to the death of another person
- D. Casual employees (who do not work under the same employer for more than one month in a year)

5) What does the term "debit" indicate in accounting?

- a. Decrease in expenses
- b. Increase in owner's equity
- C. Increase in assets
- d. Increase in liabilities

C

6) A current asset financing policy under which the working capital primary financed by long term sources.

- a. Conservative policy
- b. Matching policy
- C. Hedging policy
- d. Aggressive policy

A

7) Electronics Galore has 950,000 shares of common stock outstanding at a market price of \$11 a share. The company also market value of \$4,200,000 outstanding bonds.

- What weight should be given to the debt when the firm computes its weighted average cost of capital?**

- a. 40.22 percent
- b. 27.47 percent
- c. 32 percent
- d. 28.66 percent

D

Bond value= 4,200,0000

Market value Equity = $11 \times 950,000 = 10,450,000$

Total capital= $4,200,000 + 10,450,000 = 14,650,000$

WD= D/Total capital

$$4,200,000 / 14,650,000 = 0.2866$$

8) Company S-acquires 80% of the outstanding shares of company T for Birr 800,000. On the date of acquisition, company T's identifiable net assets have a fair value of Birr 700.000. What is the goodwill reported in the consolidated balance sheet on the date of acquisition?

- a. Birr 150,000,

Goodwill = Consideration transfer – FV of net asset

consideration transfer = 800,000+ NCI

- b. Birr 160,000

consideration transfer = 800,000+ (0.2*700,000)=940,000

D

= 940,000-700,000 = **240,000**

- c. Birr 50,000

- d. Bar 240,000

9) Which of the following journal entry applied to record the payment of salaries to employees of sales agent

- a. Salary expense-sales agency debited and credited to Agency working capital/Agency impress fund
- b. Agency working capital/Agency impress fund debited and credited to salary expense sales-agency
- C. Salary expense sales-agency debited and credited to cash
- d. Agency working capital/Agency impress fund debited and credited to cost of goods sold

A

10) A firm has a degree of financial leverage of 5.5. What does this tell us about the firm?

- a. If sales rise by 5.5%, then EBIT will rise by 1%
- b. If EBIT rises by 5.5%, then EPS will rise by 1%
- c. If EBIT rises by 1%, then EPS will rise by 5.5%
- d. If sales rise by 1%, then EPS will rise by 5.5%

C

Degree of Leverage

2) Degree of Financial Leverage (DFL)

- It measures the percentage change in Earnings Per Share (EPS) for a given percentage change in EBIT

For measurement purpose,

$$D F L = \frac{E B I T}{E B I T - I - \frac{P_D}{(1 - T)}}$$

11) Which one of the following long-term sources of fund for commercial banks?

- a. demand deposits
- b. repurchase agreement
- c. bank capital
- d. euro dollar borrowing

C

12) Which of the following statement states the importance independent audit to readers of financial statements?

- a. Shows stewardship of the company's management whose financial statements are audited.
- b. Involves the objective examination of and reporting on management-prepared statements.

B

c. measures and communicates financial and business data included in financial statements

- d. Reports on the accuracy of all information in the financial statements.

13) Assume XYZ Company has 20,000 shares of 1% cumulative preferred stock of \$100 par and 100,000 shares of \$50 par common stock. The following amounts were distributed as dividends

- Year 1 \$10,000
- year 2 45,000
- year 3 80,000
- Required: Determine the total amount dividend paid to preferred stockholders in year 2

• A. \$20.000 Year 2, $20,000 * 100 * 0.01 = 20,000$

• B. \$10,000

• C. \$30.000

• D. \$15,000

C

Year one unpaid = 10,000

total = 30,000

14) Nuna Company, a public limited company, has granted 100 share appreciation rights to each of its 10 employees on 1 July 2011. This is classified under:

- a Share-based payment transactions with cash alternatives
- b. Equity settled share based payment
- C. Cash settled share based payment
- d. Asset-settled share based payment

C

15) Assume that Gesha Company created a new branch outlet in Sodo, at the beginning of 2014. The transactions of the branch during 2014 were: Cash of Br. 60,000 was forwarded to Branch, merchandise shipped at cost to branch amounted to Br. 330,000 operating expenses paid by the home office charged to branch amounted to Br. 40,000 and merchandise returned to home office amounted to Br. 10,000, the calculated investment in Branch account amounted to

- a. Br. 430,000

- b. Br. 420,000

- c. Br. 390,000

- d. Br. 330,000

B

Investment in branch60,000

Cash60,000

Investment in branch330,000

MI.....330,000

Investment in branch40,000

Operating expense40,000

MI.....10,000

Investment in branch.....10,000

$60,000 + 330,000 + 40,000 - 10,000 = 420,000$

16) Using the following information,

- Direct materials standard cost: 5 kg. * Birr 2 per kg. = Birr 10.
- Total direct materials variance: Birr 15,000 unfavorable.
- Actual direct materials used: 300,000 kg.
- Actual units produced: 60,000 units
- **Compute the total actual cost of direct materials used**
- a. Birr 600,000.

- b. Birr 585,000.

D

MV= Actual Material Cost – Budgeted Material Cost

15000U= AMC – (10*60,000)

15000U= AMC- 600,000

- c. Birr 300,000.

AMC= 615,000

- d. Birr 615,000.

17) When preparing consolidated financial statements on the date of acquisition, how are the assets and liabilities of the acquired company typically recognized?

- a. At book value
- b. At zero value
- C. At fair value on the acquisition date
- d. At historical cost

C

18) Which of the following statement is/are not true about public and private finance?

- a. The government has a right to print currency which is legal, whereas private individual does not enjoy such a right
- b. Government cannot use coercive methods to raise his income, whereas an individual can use forceful methods to collect revenue
- C. Private cannot use coercive methods to raise his income, whereas government can use forceful methods to collect revenue.
- d. The pattern of expenditure of an individual is governed by habits, customs, status, personal needs, whereas the pattern of public expenditure is governed and controlled by deliberate economic policy of the government

B

19) Which of the following accounts is unique to a merchandising business compared to a service based business?

- a. Rent Expense
- b. Merchandising Inventory
- c Accounts Receivable
- d. Salaries Expense

B

20) For the year. Addis Company has cost of goods manufactured of Birr 800,000, beginning finished goods inventory of Birr 150,000, and ending finished goods inventory of Birr 200,000. The cost of goods sold is:

- a. Birr 750,000.

$$\text{CGS} = \text{BI} + \text{CGM} - \text{EI}$$

- b. Birr 1,150,000.

$$= 150,000 + 800,000 - 200,000 = 750,000$$

- c. Birr 450,000.

A

- d. Birr 850,000

21) In exchanges of assets in which the exchange has commercial substance

- a. Neither gains nor losses are recognized immediately
- b. Gains, but not losses, are recognized immediately
- c. Losses, but not gains, are recognized immediately.
- d. Both gains and losses are recognized immediately

D

Commercial Substance:

- An exchange has commercial substance if the future cash flows of the entity are expected to change as a result of the transaction. Simply put, it means the exchange has a legitimate business purpose and isn't just a way to manipulate accounting numbers.

22) Which of the following statement best describes the method used in indirect method to prepare statement of cash flow?

- a. It deducts operating cash disbursements from operating cash receipts.
- B. starts with net cash flow and converts it to net income.
- c. It is the presentation of a condensed cash receipts and cash disbursements statement
- d. It starts with net income and converts it to net cash flow

D

23) The capital market facilitates the trading of:

- a. Government issued currency
- b. Long-term financial securities
- c. Short-term debt instrument
- d. Everyday goods and services

B

24) The units of an item available for sale during the year were as follows:

- Jan. 1 Inventory 6 units at \$5 \$300
- Mar. 20 Purchase 14 units at \$55 \$770
- Oct. 30 Purchase 20 units at \$62 \$1,240
- **Available for sale 40 units \$2,310**
- There are 16 units of the item in the physical inventory at December 31. The periodic inventory system is used. Determine the inventory cost using the first-in, first-out (FIFO) method
- a. \$992
- b. \$1,240
- c. \$1,070
- d. \$850

A

$$\begin{array}{r} 6 * 5 = 300 \\ 14 * 55 = 770 \\ 4 * 62 = 248 \\ \hline 1318 \text{ CGS} \\ 16 * 62 = 992 \text{ EI} \end{array}$$

25) Which accounting standard specifies the criteria for recognizing and measuring impairment losses on assets?

- A. IFRS 9
- B. IAS 36
- C. IAS 16
- D. IAS 38

B

26) What is the main purpose of the Miller and Orr model?

- a. To identify the optimal level for cash balances with uncertainty
- b. To determine a firm's optimum cash balance with certainty
- c. To predict the likelihood of bankruptcy
- d. To determine the optimal time to invest in a project

A

27) Income Taxes Currently Payable is:

- a. Income Taxes Currently Payable
- b. Deferred income tax liability
- c. Current tax expense
- d. Income Tax Expense or Benefit



C

28) When should a receivable be recognized in the financial statements?

- a. When the goods or services are delivered to the customer
- b. When cash is received from the customer
- c. When the invoice is issued to the customer **A**
- d. When the payment terms of the receivable expire

29) Which one of the following is not source of revenue assigned to federal government in Ethiopia?

- a. Income tax collected from employees of the Federal Government and international organizations
- b. Taxes collected from national lotteries and other games of chance
- c. Profit and sales taxes collected from individual traders operating within state/regional government territories
- d. Taxes collected from income generated through air, rail, and sea transport services

C

30) Identify the requirements not used in the joint arrangement formation?

- a. Contractual arrangement about its activity duration and reporting obligation
- b. Contractual agreement about the appointment of talent & the voting rights of the parties
- c. Contractual arrangement about its amount of tax paid
- d. Agreement about the capital contribution to the parties

C

31) What is the main function of stock market:

- a. facilitating trade between countries
- b. simplifying companies to raise capital by selling shares
- c. providing loans to businesses
- d. managing government debt issuance

B

32) Which one the following is not party involved on the check?

- a. Payee
- B. Payer
- c. Broker
- d. Maker

Payee: The person or entity to whom the check is written.

Payer: The person or entity who is responsible for paying the amount on the check.

Maker: The person or entity who creates and signs the check.

C

33) Equipment purchased on January 01, 2021, for Birr 80,000 was depreciated using the straight-line method based upon a 5 year life and Birr 7,500 residual value. The equipment was sold on December 31, 2023, for Birr 40,000. What is the gain on the sale o the equipment?

- A. Bir 14,500
- B. Birr 36,500
- C. Birr 3,500
- D. Birr 43,500

C

$$\text{Dep Exp} = \frac{\text{cost} - \text{sv}}{\text{E.life}}$$

$$= \frac{80,000 - 7,500}{5} = 14,500$$

$$3 * 14,500 = 43,500$$

$$\begin{aligned} \text{CV} &= \text{COST} - \text{ACC DEP} \\ 80,000 - 43,500 &= 36,500 \end{aligned}$$

$$\text{Processed value} = 40,000$$

34) In a Company which uses job order costing when a job is completed, which entry is made to show the complete of the job?

- A. Debit to Finished Goods Inventory and credit work in process inventory
- B. Debit to Cost of Goods Sold and credit to finished good inventory
- C. Debit to Finished Goods Inventory and credit to raw material inventory
- D. Debit to Accounts Receivable and credit to sales

A

35) The current ratio is

- a. Calculated by subtracting current liabilities from current assets
- b. used to evaluate a company's solvency and long-term debt paying ability
- c. calculated by dividing current liabilities by current assets **D**
- d. used to evaluate a company's liquidity and short term debt paying ability

36) ABC Co paid \$260,000 cash for a tract of land on which it planned to erect a new warehouse, and paid \$ 30,000 in legal fees related to the purchase ABC also agreed to assume responsibility for \$ 20,000 of unpaid taxes on the property.

The Co inc a cost of \$9,000 to remove an old apartment building from the land. Determine the cost of the land

$$260,000+30,000+20,000+9,000 = 319,000$$

- A. \$290.000
- B. 319,000
- C. 299,000
- D \$310.000

B

37) Which one of the following costs is classified as a period cost for a manufacturer?

- a. Depreciation on factory equipment.
- b. Factory insurance.
- c. Depreciation on Factory building.
- d. Tax accountant salary.

D

38) Which one of the following is responsible for auditing taxpayers' returns to determine whether they have complied with the tax laws?

- a. Internal auditor.

D

- b. External auditor.

- c Chartered certified Accountant

- d. Internal revenue agents.

Internal Revenue Agents (also known as Revenue Agents or Tax Auditors) are employees of government tax agencies whose primary responsibility is to examine taxpayers' returns to ensure compliance with tax laws.

They conduct audits, investigate potential discrepancies, and determine if additional taxes, penalties, or interest are owed.

39) Which of the following documents and records is applied for cash disbursements class of transaction in the acquisition and payment cycle?

- A. Acquisitions journal
- b. Check or electronic payment
- C. Accounts payable master file
- D. Accounts payable trial balance

B

40) Which of the following statement describes the percentage-of-completion method in the long-term contract revenue?

- a. Recognizes revenues, costs, and gross profit as a company makes progress toward completion
- b. It accumulates construction costs in an inventory account.
- C. it accumulates progress billings in an inventory account.
- d. Recognizes revenue only to the extent of costs incurred that are expected to be recoverable

A

41) A form of taxation that is basically imposed on the services given to individuals through affixing seals on document is known as

A. Customs Duties Tax

B. Withholding Tax

C. Foreign Trade Taxes

D. Stamp Duties Tax

D

42) Which inventory Classification represents goods on hand purchased for resale by a retailer?

A. Work process inventory

B. Finished goods inventory

• C. Merchandise inventory

• D. Raw materials inventory

C

43) Liquidity Preference Theory stated that

- a. There is no relationship between liquidity and return
- b. Investors prioritize liquidity over higher returns
- c. More liquid assets offer higher potential returns
- d. Less liquid assets are generally more liquid

B

44) When evaluating mutually exclusive projects, it's best to choose the one with the:

- a. Highest NPV or IRR
- b. Shortest project duration
- c. lowest initial investment
- d. Highest payback period

A

45) Which of following definition is applied for directed sample selection in audit sampling?

- A. A non-probabilistic method of sample selection in which items are chosen without regard to their size, source, or per distinguishing characteristics.
- B. A probabilistic method of sampling in which the auditor calculates an interval and selects the items for the sample based on the size of the interval,
- C. A sample in which every possible combination of elements in the population has an equal chance of constituting the sample
- D. A non-probability method of sample selection in which each item in the sample is selected based on some judgmental criteria established by the auditor.

D

46) Which of the following is identified as the business Functions used for sales class of transaction in the Sales and collection cycle?

- A. Providing for bad debts
- B. Processing and recording cash receipt
- C. Processing and recording sales return and allowance
- D. Granting credit

D

47) How profits or losses treated in joint operation ?

- a. Each party receives an allocation of revenues and expenses on the relative performance of each party to the joint arrangement rather than profit or loss
 - b. Each party has a share in the profit but not loss relating to the activities of the arrangement.
- A**
- C. Each party has a share in the profit or loss relating to the activities of the arrangement.
 - d. The party has no right on the profits or losses of the joint arrangement

48) How is goodwill calculated in the consolidated financial statements on the date of acquisition?

- a. It is calculated as the excess of the consideration transferred over fair value of the subsidiary's identifiable net assets.

A

- b. It is calculated as the excess of the subsidiary's net income over the parent's net income.
- C. it is calculated as the difference between the parent's book value and the fair value of its investment in the subsidiary.
- D.. It is calculated as the difference between the subsidiary's book value and the fair value of its net assets.

49) Which of the following characteristics of dividend payable is different from other current liabilities?

- a. It is a result of long term liabilities.
- b. It is a result of advance service receipt.
- c. It is a result of advance cash receipt.
- d. It is a result of board of directors authorization.

D

50) Of the market based measure of allocating joint costs of production method, which one the following works backward in that the overall gross profit rate is computed first?

- a. Net realizable value method
- b. Sales value at split off
- c. Physical measure method
- d. Constant gross-margin percentage NRV method

D

51) Miami Solar budgets production of 5,000 solar panels in July. Each unit requires 4 hours of direct labor at a rate of \$16 per hour Prepare a direct labor budget for July

- A. Birr 300.000

$$5000 * 4 * 16 = 320,000$$

- B. Bir 80, 000.

D

- C. Birr 250.000

- D. Birr 320, 000

52) In Audit Sampling for Test of Control and Substantive Test of Transactions, Selecting the sample is performed in

- A. Select the Sample and Perform the Audit Procedures step

- B. Plan the Sample step

B

- C. Analyze exceptions step

- D. Evaluate the Results step

Plan the Sample: This is the initial stage where the auditor determines the objectives of the audit procedure, the appropriate sample size, the selection method (e.g., random, stratified), and the tolerable deviation rate or error. Selecting the actual sample is a key part of this planning process.

53) Which of the following is categorized as deductible temporary difference?

- A. Sales accounted for on the accrual basis for financial reporting purposes and on the installment (cash) basis for tax purposes,
- b. Investments accounted purposes for under the equity method for financial reporting purposes and under the cost method for tax purposes
- C. Prepaid expenses that are deducted on the tax return in the period paid
- d. Bad debt expense recognized using the allowance for financial reporting purposes, direct write-off method used for tax purposes.

D

54) Which one of the following is a Money market security?

- a. debenture
- b. bond
- c. Treasury bill
- d. Common Stock

C

55) In which of the following engagements an auditor provides a limited level of assurance that the information subject to review free of material misstatement?

- a. External audit

Review: In a review engagement, the auditor performs procedures that provide a limited level of assurance. They obtain evidence to determine whether any material modifications should be made to the financial statements

- B. Review

B

External Audit: An external audit provides reasonable assurance, which is a higher level of assurance than a review. Audits involve more extensive procedures and testing.

- C. Compilation.

Compilation: A compilation involves the accountant assisting management in presenting financial information. No assurance is provided. The accountant does not express an opinion or provide any level of assurance regarding the financial statements.

- d. Agreed up on procedure

Agreed-Upon Procedures: In an agreed-upon procedures engagement, the auditor performs specific procedures that the client and other parties have agreed upon. The auditor reports the findings of those procedures but does not express an opinion or provide any assurance.

- **56) Resources that are held in trust for the benefit of the government's own programs or its citizenry should be accounted for using which of the following?**
- a. Governmental fund
- b. Enterprise fund.
- c. Proprietary fund
- D. Fiduciary fund

D

57) Which of the following events would generally be classified as non-operating on an enterprise fund's statement of revenues, expenses, and changes in net assets?

a. Customer account expenses.

b. Administrative expense

c. Depreciation expense.

d. Loss on the sale of a piece of equipment.

D

60) A company's predetermined overhead rate is 150% of its direct labor costs. How much overhead is applied to a job that used total direct labor costs of Birr 50,000?

- a. Birr 50,000
- b. Birr 75,000
- c. Birr 65,000
- d. Birr 25,000

$$50,000 * 150\% = 75,000$$

B

61) Which of the following statement demonstrates the transaction-Related Audit Objectives of completeness for Acquisitions of good and service transaction?

- a. Recorded acquisitions are for goods and services received, consistent with the best interests of the client
- b. Recorded acquisition transactions are accurate
- c. Acquisition transactions are correctly classified
- d. Existing acquisition transactions are recorded

D

62) On January 1, 2012, Eba Company acquires Br. 200,000 of Worku, Inc., 8% bonds at a price of Br. 190,052.59. The interest payable each December 31, the bonds mature December 31, 2014. The investment will provide Morgan Company yield 10%. The bonds are classified as held-for-collection.

What is the amount of Bond Discount Amortization recorded on December 31, 2012 if it uses interest effective method?

	Year	Cash received	Effective interest rate	Amortization	Ending carrying value
• a. Br. 16,000	0				190,052.59
	Dec 31/12	16,000	19005.259	3005.26	193057.849

• b: Br. 20,000

Cash Paid = $200,000 \times 0.08 = 16,000$

Effective interest rate = $190,052.59 \times 0.1 = 19005.259$

• c. Br. 3,005.26

• d. Br. 19,005.26

C

62) The bond investment which is hold for trading strategy is measured

- A. Fair Value
- B. Amortized Cost
- C. Both Amortized cost and equity Method
- D. Accumulated cost

A

63) Which of the following describes the type of budget, a budget prepared by using planned output unit

- A) Fixed Budget
- B) Static Budget
- C) Fixable budget
- D) Financial Budget

B

64) Financial Regulation demonstrates

- A. Financial Regulation Makes the market to promote confidence in the company's internal inefficiency and fairness to their activities
- B. Financial Regulation may be applied to facilitate the general **B** operation of market to enhance safety or to pursue social objective
- C. Financial Regulation on depositors as well financial institution especially bank make them protected from their own financial failure
- D. Financial Regulation gives room for more monopolies

65) Compared to the plant wide rate method, activity-based costing usually shifts costs from

A. customized to standardized products.

B. Low-volume to high-volume products.

C. Complex to simple products

D. High-volume to low-volume products

D

66) A successor would most likely make specific inquiries of the predecessor auditor about which one of the following ?

- A. Specialized accounting principles of the client's industry.
- B. The competency of the client's internal audit staff.
- C. Disagreements with management as to auditing procedure
- D. the uncertainty inherent in applying sampling procedures,

C

67) Which of the following is true about unsystematic risk?

- A. is measured by beta
- B. can be effectively eliminated by portfolio diversification
- C. is measured by standard deviation
- D. is compensated for by the risk premium

B

Unsystematic Risk (also called diversifiable risk or company-specific risk): This type of risk is specific to a particular company or industry. Examples include a company's management changes, a product recall, or a labor strike. Because these events are unique to the company, their impact can be reduced by investing in a variety of different companies across different sectors.

Systematic Risk (also called market risk or non-diversifiable risk): This type of risk affects the entire market and cannot be eliminated through diversification. Examples include interest rate changes, recessions, or inflation.

68) Which of the following is the opportunity of the security market development in Ethiopia ?

- A. Considerable unexploited resources
- B. Good public confidence in share investment
- C. The development of private sector is low
- D. The public awareness about securities

B

69) Ethiopian civil service University pays the salary of its employees according to the Ethiopian calendar month. The fourth coming data relates to the month of Sene 2016. Getane Mamo is the permanent employee of the organization

S/No	Basic salary	Allowance	
045	9200 Birr	Transportation 1250	Home 1500

- Determine the amounts **Employment income tax to be deducted** required by the government to be deducted mandatory from Mr. Getane earning based on the above given information and newly amended employment income tax proclamation in 2016

- A) 2685 birr
- B) 2899 Birr
- C) 2255 Birr
- D) 644 Birr

C

$$\begin{aligned}\text{Gross earning} &= 9200 + 1250 + 1500 \\ &= 11950\end{aligned}$$

$$\text{Taxable income} = 11950 - 1250 = 10700$$

$$\text{Tax} = 10700 \times 0.3 - 955 = 2255 \text{ Birr}$$

$$\text{PC} = 9200 \times 0.07 = 644$$

$$\text{Total deduction} = 644 + 2255 = 2899$$

70) What is the defensive tactics that a target company in a hostile takeover to resists the proposed business combination through amendment of the articles of incorporation or bylaws to make it more difficult to obtain stockholder approval for a takeover?

A. Poison pill

- ***Pac-man Defense:*** A **tray** to undertake a hostile takeover of the prospective combinator.

- ***White Knight:*** A **search for** a candidate to be the **combinor** in a friendly takeover.

- ***Scorched Earth:*** The **disposal**, by sale or by spin-off to stockholders, of one or more profitable business **segments**.

B. Greenmail

- ***Shark Repellent:*** An acquisition of substantial amount of outstanding C/S **for the treasury or for retirement**,

- ***Poison Pill:*** **An amendment of the articles** of incorporation or bylaws **to make it more difficult** to obtain s/holder approval for a takeover.

C. Scorched earth

- ***Green Mail:*** **An acquisition of common stock** presently owned by the prospective combinator at a price substantially in excess of the prospective combinator's cost, with the stock thus acquired placed in the treasury or retired.

D. Whiteknights

- ***Litigation:*** Filing lawsuits against the hostile entity can create delays and expenses

A

71) Which of one the following should be done to the book value of the old equipment in a decision to retain or replace equipment?

Treating as a (an):

- A) marginal cost
- B) incremental cost
- C Opportunity cost.
- D) Sunk cost

D

72) In using the percentage of sales forecasting method the assumption is that

- A. there is a direct relationship between long-term debt and sales
- B. contributed capital will increase proportionately with sales
- C. inventories will increase proportionately with sales
- D. there is a direct relationship between notes payable and sales

C

73) Which of the following statement explains the transaction Related Audit Objective of accuracy for sales transaction ?

- a. Recorded sales are for shipments actually made to no fictitious customers.
- b. Existing sales transactions are recorded,
- c. sale are recorded on the correct dates.
- d. Recorded sales are for this amount of goods shipped and are correctly billed and recorded

D

74) Which of the following is the about the focus of governmental financial reporting except

- A. Information about net income.
- B. A government's stewardship of public resources.
- c. Ongoing ability to raise taxes and manage resources
- d. Compliance with legal spending limits

A

75) What is the primary purpose of accounting software in a computerized accounting system ?

- a. To manually record transactions
- b. To calculate financial ratios
- c. To store and process financial data efficiently.
- d. To eliminate the need for internal controls

C